KERALA STATE ELECTRICITY REGULATORY COMMISSION
THIRUVANANTHAPURAM

Petition No: OP 59 / 2025

Present : Sri T K Jose, Chairman
Sri. B Pradeep, Member

In the matter of	:	Petition for approval of truing up of accounts for the financial year 2024-25
Petitioner	:	M/s Infoparks Kerala
Represented by	:	Sri. Vijayan V R, AGM- Projects, Infopark Sri. Arun S, Asst. Engineer- Electrical Sri. M.M Abdul Rahim, Consultant
Respondent	:	M/s Kerala State Electricity Board Limited
Represented by	:	Sri.Shan B.S, Asst. Executive Engineer, KSEB Ltd Smt. Archana. M. Asst. Engineer, KSEB Ltd
Hearing	:	07.01.2026 at the Court Hall, Office of the Commission

Order Dated 03.02.2026

1. M/s Infopark, Kochi (hereinafter called the licensee or Infopark) is a Government of Kerala Undertaking, engaged in the development of infrastructure for information technology (IT) and information technology enabled services (IT enabled Services). The licensee is providing ready to occupy infrastructure including power distribution to IT companies in Kakkanad and Cherthala area. Infopark, Chertala was granted distribution licence vide order dated 10-05-2010 of the Commission and the electricity distribution operations have commenced from 01-07-2013. The Infopark Phase II campus at Kochi was granted distribution licence vide Order dated 18-10-2011.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. The licensee has filed the petition for truing up of accounts for the year 2024-25 as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations, 2021. The present petition is for the third year of the Control Period.

3. The Commission vide Order in OP No.09/2023 dated 24.01.2024 has approved the ARR&ERC for the Control Period. In the present petition for truing up the

accounts, the licensee has claimed a revenue gap of Rs.79.76 lakh compared to revenue surplus of Rs.13.15 lakh approved by the Commission in the Order on ARR&ERC. A comparison of the claim made in the present petition with the ARR&ERC approved by the Commission and with the previous years is tabulated below.

Table 1
Comparison of ARR & ERC and Truing Up for 2024-25 (Rs. Lakh)

Particulars	ARR Projected	ARR Approved	For Truing Up
Cost of Power Purchase	627.81	537.73	1023.94
Employee cost	29.92	25.04	29.86
A&G Expense	18.60	5.11	10.06
R&M Expense	40.42	26.41	58.30
Depreciation	44.70	47.21	47.21
Interest on Normative Long-Term Loan	50.28	42.09	56.33
Interest on Consumer Deposits & Bank charges	5.81	5.11	9.13
Interest on Working Capital	0.00	0.41	8.89
Carrying cost for past revenue gaps	0.00	53.93	62.26
Return on Equity	33.76	36.11	36.11
Aggregate Revenue Requirement	**851.30**	**779.15**	**1342.08**
Revenue from Sale of power	749.66	749.66	1187.62
Wheeling Charges	39.47	39.47	64.46
Non-Tariff Income	3.17	3.17	10.24
Total Revenue/ERC	**792.30**	**792.30**	**1262.32**
Revenue Surplus / (Deficit)	**-59.00**	**13.15**	**-79.76**

Table 2
Comparison of previous years (Rs. lakh)

Particulars	2022-23		2023-24		2024-25
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Cost of Power Purchase	704.72	706.94	874.59	885.13	1023.94
Employee cost	24.99	23.53	29.79	27.46	29.86
A&G Expense	8.79	6.04	12.29	7.43	10.06
R&M Expense	49.71	35.57	45.28	34.62	58.30
Depreciation	47.21	47.21	47.21	47.21	47.21
Interest on Normative Long-Term Loan	50.91	48.36	53.76	62.23	56.33
Interest on Consumer Deposits & Bank charges	4.27	4.26	7.36	7.36	9.13
Interest on Working Capital	2.70	2.93	3.76	4.89	8.89
Carrying cost for past revenue gaps	40.55	41.36	58.03	58.03	62.26
Return on Equity	38.70	41.30	36.08	38.70	36.11
Aggregate Revenue Requirement	**972.55**	**957.50**	**1168.15**	**1173.06**	**1342.08**
Revenue from Sale of power	874.03	874.03	1055.68	1055.68	1187.62
Wheeling Charges	36.10	36.10	45.98	45.98	64.46
Non-Tariff Income	4.95	4.95	9.24	9.24	10.24
Total Revenue/ERC	**915.08**	**915.08**	**1110.90**	**1110.90**	**1262.32**
Revenue Surplus / (Deficit)	**-57.47**	**-42.42**	**-57.26**	**-62.16**	**-79.76**

4. After examining the petition, the Commission admitted the petition as **OP No. 59/2025.**

Hearing on the Petition

5. The hearing on the petition was conducted at the Court Hall, Office of the Commission on 07-01-2026. Sri. Vijayan V R, AGM- Projects, Sri. Arun S, Asst. Engineer- Electrical and Sri. Abdul Rahim, Consultant represented the petitioner and responded to the queries of the Commission. Sri. Abdul Rahim briefed the petition before the Commission and replied to the queries. The main points mentioned in the presentation are briefed below;

    a) The number of consumers during the year 2024-25 is 217 and the actual sale for the year is 137.61 lakh units.

    b) There are 189 consumers in Kakkanad and 28 consumers in Cherthala campuses. Sales at Kakkanad area is 125.53 lakh units whereas the sales at Cherthala area is 12.08 lakh units.

    c) The total energy input for the sale of energy to the consumers and wheeled energy for year 2024-25 is 242.68 lakh units,

    d) The overall distribution loss for the year 2024-25 is 2.86% and the actual power purchase cost for the year is Rs.1023.94 lakh. Distribution loss of Cherthala area is 10.49% and that of Kakkanad area is 2.41%.

    e) The Commission while approving the norms in the Tariff Regulations 2021 had approved the Operation and Maintenance Expense at Rs.56.56 lakh. The licensee in the petition has claimed total operation and maintenance expense of Rs.98.22 lakh. The major portion of the O&M is towards repair and maintenance for the year.

    f) The Employee cost claimed for the year 2024-25 is Rs.29.86 lakh and stated that as compared to previous year there is only a slight increase in the employee costs.

    g) The actual R&M expense for the year is Rs.58.30 lakh, which includes O&M contract cost of Rs.39.02 lakh and one time expenditure of Rs.19.28 lakh.

    h) The A&G expense claimed for the year is Rs.10.06 lakh. For the year 2024-25, major claim is towards Audit fees, Electrical inspectorate fees and other professional fees.

    i) The depreciation claimed for the year 2024-25 is Rs. 47.21 lakh which is in line with the Tariff Regulations 2021.

    j) The licensee has claimed Interest and finance charges of Rs. 136.61 lakh which includes interest on normative loan, interest on security deposit, Interest on working capital, bank charges and Carrying cost for past revenue gaps

k) Return on Net Fixed Assets (RoNFA) of Rs.36.11 lakh has been claimed by the licensee.

l) The total expenditure incurred in 2024-25 is Rs.1342.08 lakh.

m) The Revenue for the sale of 137.60 lakh units in 2024-25 is Rs.1187.62 lakh. Major revenue realisation is from HT I B consumers at Kakkanad

n) The licensee has also accounted Rs.64.46 lakh as wheeling charges from M/s Smart City. The total energy wheeled to Smart City is 102.75 lakh units.

o) The Non-Tariff Income claimed by the licensee is Rs.10.24 lakh which includes interest on investments and deposits, interest on advances etc.

p) The total revenue for the year 2024-25 is Rs.1262.32 lakh.

q) The petition for the truing up of accounts for the year 2024-25 is submitted with a revenue gap of Rs.79.76 lakh.

6. KSEB Ltd, vide letter dated 16.01.2025 submitted the following comments on the petition;

a) The purchase cost of licensee as per petition tally with the records of KSEB Ltd.

b) Increase in the number of consumers should have led to an increase in application fees, but this has not been reflected in the non-tariff income.

c) Approved distribution loss for FY 2023-24 is 4.23%, but the actual reported loss is 2.86%, which is within the limit. Major improvements were seen in Cherthala, where loss reduced significantly despite increased load. However, no new asset additions were reported, making the cause of loss reduction unclear. Hence, it is submitted that the benefit to licensee for distribution loss may be admitted only if genuine efforts has been made by the licensee to reduce distribution loss. Since no asset addition or other works were done during the financial year or previous year, this distribution loss reduction cannot be attributed to any special efforts. Since a licensee has to maintain a higher operating efficiency and has to do all required periodic maintenance at all time, simply claiming the reasons to these factors cannot be considered without prudential check.

d) It was also submitted that KSEBL has intimated its willingness for the take over of the Cherthala substation as per the direction of the Kerala Government. But as the area is earmarked as Special Economic Zone, the substation can be handed over to KSEBL only after the denotification of the said area.

e) It is also submitted that in the Truing up order dated 11.03.2025 of Infopark, in the table 7, while calculating the -Total Energy Output

(lakh Units) (1+2) for Trued up it was taken 191.89 lakh instead of 191.48 lakh. This has resulted in the undue increase of Rs.1.71 lakh in the Approved power purchase cost (Rs. lakh) (6+7).

f) Smart City wheeling charge is reported as Rs.64.46 lakh, aligning with KSEBL records.

g) The Operation and Maintenance expense claimed is higher than the ceiling level specified in the Tariff Regulations, 2021. It was submitted that Operation and Maintenance expense is a controllable factor and higher cost compared to the ceiling norms are to be disallowed after prudence check.

h) R&M expense claimed by the licensee is higher than the norms approved by the Commission. It is submitted that, most of the works listed under one-time repair works under R&M expenses belongs to routine works especially, VCB maintenance, relay testing, EOT crane servicing, oil testing, tan delta testing and testing of equipments etc. Commission may limit the R&M expense to approved limit and allow one-time expense after prudence check.

i) It is submitted that the item security deposits except security deposits held in the form of bank guarantee from users is only Rs 124.59 lakh whereas the amount shown under the receivables is Rs.197.94 lakh. It is also submitted that in the truing up petition for 2023-24 the security deposit was Rs.137.88 lakh. No explanation was provided for the reduction in security deposit from the previous year even with increased demand and submitted that the Commission may conduct a prudential check in this matter.

7. The licensee vide letter dated 21.01.2026 submitted the clarifications for the comments and certain points raised by the Commission during the hearing, with regard to average realization, other income, probable distribution loss level when EHT substation of Cherthala installation is handed over to KSEB, wrong allocation of expenditure under the head of R&M cost for replacement of spares etc.

Analysis and decision of the Commission

8. The Commission considered the petition of the licensee for Truing Up of Accounts for the year 2024-25 along with the clarifications provided in the hearing, the comments of KSEB Ltd. The analysis and decisions of the Commission as per the provisions of the Tariff Regulations, 2021 on the petition for Truing Up of Accounts for the year 2024-25 are detailed below.

Energy sales and consumer mix

9. The licensee in the petition submitted area wise details of the number of consumers and sales. It may be seen that there is increase in the number of consumers of the licensee. As per the details provided in the petition, there are 189 consumers in Kakkanad and 28 consumers in Cherthala campuses. Sales at Kakkanad area is 125.53 lakh units *(2023-24 – 111.00 lakh units)* whereas the sales at Cherthala area is 12.08 lakh units *(2023-24 – 9.01 lakh units).* Out of the total sale of 137.61 lakh units major sale of 86.02 lakh units is to five HT I B consumers. A comparison of the actual number of consumers and the sale of power is shown below.

Table 3
Comparison of no. of consumers and sales

Category	2022-23 Trued Up		2023-24 Trued Up		2024-25 For Truing Up	
	Consumers	Sale (lakh units)	Consumers	Sale (lakh units)	Consumers	Sale (lakh units)
LT Industrial	158	29.97	185	40.03	194	46.66
LT Commercial	23	8.06	19	6.55	3	0.79
LT VI F					9	2.18
Street Lighting	2	1.32	2	1.18	2	1.29
LT VI C					2	0.17
LT VI B					1	0.17
HT 1 B	4	59.23	4	72.23	5	86.02
HT II B	-	-	1	0.01	1	0.32
Total	**187**	**98.58**	**211**	**120.00**	**217**	**137.61**

10. The licensee has stated that the increase in the sales is mainly on account of induction of new IT Companies in the distribution area and normal increase in the consumption pattern of existing consumers. The licensee has also stated that, no Solar power was injected to the grid during the period as the entire energy generated by the prosumer were utilized for its internal requirements. ***After analyzing the details, the Commission hereby approves the actual energy sales of 137.61 lakh units as per petition for the purpose of Truing Up of Accounts for the financial year 2024-25.***

Energy Requirement and Distribution Loss

11. As per the petition, the total energy input for the sale of energy to the consumers and wheeled energy for year 2024-25 is 242.68 lakh units, which was purchased from KSEB Ltd. Total energy sold to the consumers and wheeled to M/s Smart city is 235.74 lakh units contributing total distribution loss as 2.86 %. The computation of distribution loss for the year 2024-25 is tabulated below.

Table 4
Distribution loss including wheeling energy for 2024-25

Particulars	2024-25		
	Kakkanad (PH-II)	**Cherthala**	**Total**
Power Purchase from KSEB Ltd (in lakh units)	126.43	13.50	139.93
Wheeled Energy Input (in lakh units)	102.75		102.75
Solar Generation (in lakh units)	0	0	0
Energy Input (in lakh units)	**229.18**	**13.50**	**242.68**
Energy sales to Consumers			
HT Sales (in lakh units)	76.14	10.20	86.34
LT Sales (in lakh units)	49.38	1.888	51.27
Wheeled Energy output (in lakh units)	98.13	0	98.13
Total Output	**223.65**	**12.08**	**235.74**
Distribution loss	5.53	1.42	6.95
Distribution loss %	**2.41%**	**10.49%**	**2.86%**

12. The actual distribution loss for the year 2023-24 was 3.15 % which was approved while truing up the accounts for the year as shown below;

Table 5
Distribution loss including wheeling energy for 2023-24

Particulars	2023-24		
	Kakkanad (PH-II)	**Cherthala**	**Total**
Power Purchase from KSEB Ltd (in lakh units)	112.55	10.27	122.82
Wheeled Energy Input (in lakh units)	74.84	0	74.84
Solar Generation (in lakh units)	0.058	0	0.058
Energy Input (in lakh units)	**187.44**	**10.27**	**197.72**
Energy sales to Consumers			
HT Sales (in lakh units)	64.89	7.34	72.24
LT Sales (in lakh units)	46.11	1.67	47.78
Wheeled Energy output (in lakh units)	71.48		71.48
Total Output	**182.46**	**9.01**	**191.49**
Distribution loss	4.98	1.25	6.23
Distribution loss %	**2.66%**	**12.22%**	**3.15%**

13. The Commission while issuing the Order on ARR&ERC for the control period had approved a distribution loss of 4.23% for the year 2024-25 considering the fact that the dismal business at Cherthala Area is contributing to higher incidence of overall distribution loss. The actual energy loss over the years at Infopark Cherthala and purchase/sales are tabulated below.

Table 6
Distribution loss for the past years at Cherthala Phase

Year	Purchase (lakh Units)	Sale (lakh Units)	Energy Loss (lakh Units)	Energy Loss (%)
2017-18	14.33	12.57	1.76	12.28
2018-19	12.71	11.18	1.52	11.98
2019-20	11.66	10.24	1.42	12.18
2020-21	7.26	5.85	1.41	19.34
2021-22	6.43	5.01	1.41	21.99

2022-23	8.78	7.13	1.65	18.82
2023-24	10.27	9.01	1.25	12.22
2024-25	13.50	12.08	1.42	10.49

14. Compared to 2023-24, there is a reduction in the distribution loss. Though there is improvement in the sales compared to previous year, there is no considerable increase in the sales in Cherthala area. The licensee during the hearing had stated that the underutilization of EHT substation at Cherthala installation was the main reason for increased No-load loss, which in turn increased the overall loss of Infopark Cherthala. However, Infopark is trying its best to reduce the overall loss by attracting more potential power consumers in the area through effective marketing strategies.

15. The licensee in the petition has stated that they are taking earnest efforts to maintain PF nearly to unity, Encouraging the consumers for balanced loads, Higher HT/LT ratio, Upgrading Infrastructure, improving operational efficiency and regular maintenance of infrastructure etc. The licensee had also mentioned that they are exploring the possibilities to extend power to the consumers of KSEB Ltd in the vicinity of Infopark through wheeling arrangements. Another proposal is also in progress to hand over the EHT substation of Cherthala to KSEB Ltd to utilize the assets in the optimum level for which application is submitted to KSEB Ltd & follow up actions are in track. ***Considering this, the Commission reiterates that the licensee shall take all earnest efforts to improve the utilisation of the assets commissioned.***

16. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution loss...

.....

(3) Any variation between the actual level of distribution losses and the approved level of distribution losses shall be dealt with, as part of the truing up of the respective financial year in the following manner:-

i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year, shall be disallowed at the average cost of power purchase for the respective financial year;

ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1

17. As per Regulation 73, distribution loss is a controllable item, and its reduction is an efficiency parameter. ***Considering the fact that the licensee has achieved a distribution loss better than the distribution loss approved by the Commission, the Commission hereby approves the actual loss of 2.86 % achieved by the licensee. The licensee shall take added efforts to reduce the losses further.*** Accordingly, the efficiency gain on distribution loss has to be shared in the ratio of 2:1 between the licensee and consumers i.e., 2/3rd of gain is to be retained by the licensee and 1/3rd is to be passed on to the consumers. Considering the approved distribution loss of 4.23%, the approved energy requirement for the year 2024-25 is as shown below:

Table 7
Approved Energy input & Distribution Loss for the year 2024-25

Particulars	Approved in ARR	As per Truing up petition	Trued up
Energy Sales (lakh units) (1)	86.39	137.61	137.61
Wheeled energy Output (lakh units) (2)	61.79	98.13	98.13
Total Energy Output (lakh Units) (1+2)	**148.18**	**235.74**	**235.74**
Distribution Loss (%)	**4.23**	**2.86%**	**4.23%**
Distribution Loss (lakh Units)	6.55	6.94	10.41
Energy Requirement (lakh units)	**154.73**	**242.68**	**246.15**
Wheeled energy Input (lakh units)	64.71	102.75	102.75
Solar Energy Input	15.33	0.00	0.00
Energy purchase from KSEB Ltd (lakh units)	**74.69**	**139.93**	**143.40**

Power purchase cost

18. The power purchase cost claimed for the year 2024-25 is Rs. 1023.94 lakh for power purchase of 139.93 lakh units from KSEB Ltd. The licensee has also included Rs.0.03 lakh as cost of solar power injected from prosumers (0.058 lakh units) during the year 2023-24 as part of power purchase cost for the year 2024-25. Licensee has stated that, during 2023-24, licensee has settled cost of excess energy from prosumers @ Rs.2.69 /Unit, though approved APPC was Rs.3.15 /Unit. The Commission directed to adjust the payment at applicable rate of Rs 3.15 per unit. Hence difference in amount @ Rs 0.46 /Unit was paid to the prosumers. The details of power purchase cost as per the petition is given below: -

Table-8
Power Purchase Cost

Source	Energy purchased (lakh units)	Fixed charge (Rs. lakh)	Energy charges (Rs. lakh)	Total cost (Rs. lakh)
KSEB Ltd	139.63	199.25	824.69	1023.94
Solar energy from prosumers	-	-	-	-
Total	**139.63**	**199.25**	**824.69**	**1023.94**

19. The licensee has also stated that, no Solar power was injected to the grid during the period as the entire energy generated by the prosumer were utilized for its internal requirements.

20. KSEB Ltd., in its comments, pointed out that in the True-up Order dated 11.03.2025 pertaining to Infopark, under Table 7, while arriving at the 'Total Energy Output (lakh units) (1+2)' for the trued-up period, the total units of 191.89 lakh was inadvertently mentioned instead of the correct figure of 191.48 lakh. Consequently, this led to an apparent increase of Rs.1.71 lakh in the 'Approved Power Purchase Cost (Rs. lakh) (6+7)'. The Commission has examined the issue and observed that the mention of 191.89 lakh in Table 7 is a typographical error. The Commission further notes that the calculation of distribution loss and related computations were carried out using the correct figure of 191.48 lakh. Hence, no actual error has occurred in the approved calculations, and the discrepancy is limited to a typographical mistake in the said table.

21. The actual distribution loss is lower than the approved level of distribution loss, the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the year, is to be shared between the distribution business/licensee and the consumers in the ratio of 2:1. ***Accordingly, the approved power purchase cost for 2024-25 considering the savings on account of reduction in distribution loss is as shown below;***

Table 9
Savings in cost of power purchase due to excess loss reduction over target level for 2024-25

1	Actual distribution loss (In lakh units)	6.94
2	Approved distribution loss (In lakh units)	10.41
3	Savings on distribution loss (2-1) (In lakh units)	3.47
4	Average power purchase cost (Rs. /kWh)	7.31
5	Efficiency gain at average power purchase cost (Rs. lakh) (3*4)	25.36
6	Efficiency gain to be retained by licensee (2/3rd) (Rs. lakh)	16.91
7	Actual power purchase cost (Rs. lakh)	1023.94
8	**Approved power purchase cost (Rs. lakh) (6+7)**	**1040.85**

22. ***Accordingly, the Commission hereby approves Rs.1040.85 lakh as power purchase cost for the year 2024-25.***

Operation & Maintenance expenses

23. Operation and Maintenance expenses are controllable expenses which include Employee cost, Repair & Maintenance expenses and Administrative & General expenses. The Commission while approving the ARR & ERC for the control

period had approved the O&M expenses as per the normative level and had stated that any additional expenses relating to uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission. The Commission while approving the norms in the Tariff Regulations, 2021 had approved the Operation and Maintenance expense of Rs.56.56 lakh for 2024-25. The licensee in the petition has claimed total operation and maintenance expense of Rs.98.22 lakh. The comparison of O&M expenses with the previous year is tabulated below;

Table 10
Comparison of Operation & Maintenance Expenses 2024-25 (Rs. lakh)

Particulars	ARR Projected	ARR Approved	For Truing Up
Employee cost	29.92	25.04	29.86
A&G Expense	18.60	5.11	10.06
R&M Expense	40.42	26.41	58.30
Total	**88.94**	**56.56**	**98.22**

Table 11
Comparison of Operation & Maintenance Expenses – Previous years (Rs. lakh)

Particulars	2022-23		2023-24		2024-25
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Employee Cost	24.99	23.53	29.79	27.46	29.86
A &G Expenses	8.79	6.04	12.29	7.43	10.06
R&M Expenses	49.71	35.57	45.28	34.62	58.30
Total	**83.49**	**65.14**	**87.36**	**69.51**	**98.22**

24. The Commission has examined the details furnished by the licensee and the claim in the Truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period.

25. The Annexure-7 of Tariff Regulations 2021 specifies, the base year (2021-22) norms as per Table-9 and approved norms (Third Table under para 3(iii) of Annexure-7) of the O&M expenses of Infopark. The details are given below.

Table 12
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year	Control period				
	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	21.98	22.95	23.98	25.04	26.16	27.33
R&M Expenses	23.17	24.21	25.28	26.41	27.59	28.82
A&G Expenses	4.48	4.68	4.89	5.11	5.34	5.57
Total	**49.63**	**51.84**	**54.15**	**56.56**	**59.08**	**61.71**

26. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from

2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7 permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:
   - *Employee cost;*
   - *Administrative & General (A&G) expenses; and*
   - *Repair & Maintenance (R&M) costs.*

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) The average of the increase in the CPI & WPI indices, for the 4-year period (2017-18 to 2020 -21), as given in Table- 1 below:

Table- 1
Computation of Escalation Factors for this MYT Regulation

Sl.No	***Escalation factors/ year***	***2017-18***	***2018-19***	***2019-20***	***2020-21***
1	*CPI (Industrial Workers) 2001=100*	*284.42*	*299.90*	*322.50*	*338.69*
2	*Annual CPI increase %*	*3.08*	*5.44*	*7.54*	*5.02*
3	*WPI (2011-12) series*	*114.90*	*119.80*	*121.80*	*123.40*
4	*Annual WPI increase %*	*2.96*	*4.26*	*1.67*	*1.31*
5	*CPI:WPI (70:30) weightage (%)*	*3.04*	*5.09*	*5.78*	*3.91*
6	*Average 4 Year annual increase* ***@ 70:30 weightage (%)***	***4.454%***			

Note:

The Commission notes that there has been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years.

27. As discussed in the preceding paragraphs and as specified under Annexure-7 of the Tariff Regulations, 2021, the base year O&M expenses for the Year 2021-22 is Rs.49.63 lakh. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and whole sale price index' is 4.454%. By applying the escalation rate of 4.454% on the O&M expenses of the base year 2021-22, the O&M Expenses for 2024-25 is Rs.56.56 lakh. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for approving the O&M expenses while truing up of the respective years. The actual inflation rate of the year **2024-25 is 3.05%.**

28. Based on the actual escalation of 3.05% in the year 2024-25, the revised O&M expenses of Infopark is approved by the Commission considering actual inflation as given below.

Table 13
Revised O&M expenses of Infopark approved for the year 2024-25 considering Actual Inflation (Rs. lakh)

Particulars	2023-24	Control Period- 2024-25	
	Approved	Actual inflation	O&M Approved
Employee Cost	**24.33**	3.05%	**25.07**
R&M Expenses	**25.66**	3.05%	**26.44**
A&G Expenses	**4.96**	3.05%	**5.11**
Total	**54.95**		**56.62**

Employee Cost

29. The employee cost claimed by the licensee for the year 2024-25 is Rs.29.86 lakh which is higher than the normative amounts of Rs.25.04 lakh fixed by the Commission. The comparison of the claim with the previous year is tabulated below.

Table 14
Comparison of the Employee expenses (Rs. lakh)

Particulars	2022-23		2023-24		2024-25
	Truing Up Petition	Trued Up	Truing Up Petition	Trued up	Truing up petition
Basic Salary	15.57	*Approved **Rs. 23.53 lakh** based on actual inflation rate of 7.06% for the year 2022-23 escalated to base year 2021-22*	15.95	*Approved **Rs.27.46 lakh** based on actual escalation and interim relief paid for previous years*	16.66
Dearness Allowance	5.61		5.74		6.92
House Rent Allowance	0.69		0.69		0.74
Conveyance Allowance	0.13		0.13		0.13
Earned Leave Encashment	0.85		1.82		1.53
Other Allowances (IR)			0		2.95
Medical Reimbursement	2.14		0.73		0.93
Interim	-		1.60		0.00
Others (Arrears)			3.13		0.00
Total Employee Expenses	**24.99**	**23.53**	**29.79**	**27.46**	**29.86**

30. The major heads under employee expense are basic salary, DA, other allowances etc. The Commission analysed the details submitted by the licensee and is of the view that, O&M expense being a controllable expense may be limited to the approved norms. Accordingly, the Commission hereby ***approves the employee expenses of Rs.25.07 lakh based on actual inflation rate for the year 2024-25 as worked out in Table 13 as against the licensee's claim of Rs.29.86 lakh.***

Repair and Maintenance Expenses

31. The licensee has claimed an amount of Rs.58.30 lakh as against Rs.26.41 lakh approved for 2024-25 by the Commission. The claim of the licensee includes O&M contract cost of Rs.39.02 lakh and one time expenditure of Rs.19.28 lakh. The licensee has stated that the O&M contract has been finalized through a transparent bidding process. The split up of the R&M cost is tabulated below;

Table 15
Phase wise split up of R&M expenses for the 2024-25 (Rs. lakh)

Sl.No.	Particulars	Cherthala	Phase-II	Total
1	O&M Charges to O&M contractor, M/s Voltas	13.98	25.04	39.02
2	One time Expenditure	5.84	13.43	19.28
3	**Total (1+2)**	**19.83**	**38.47**	**58.30**

32. The Commission examined the submission of the licensee for the year 2024-25 and noted that, Rs.19.28 lakh claimed is in the nature one-time expense out of Rs.53.80 lakh of total R&M expense claimed for the year.

Table 16
Phase wise split up of One-time expense for the 2024-25 (Rs. lakh)

Sl.No	Particulars	Cherthala	Phase-II	Total
a	Power transformer (110KV/11KV) –Oil leakage arresting, gasket replacement, Refilling of transformer oil	1.46	-	1.46
b	VCB maintenance	0.14	-	0.14
c	Relay testing at 110KV substation	0.45	-	0.45
d	Replacement of relay	1.00	-	1.00
e	Replacement of LA	2.79	-	2.79
f	Dismantling & Repairing of Tubular conductor	-	1.16	1.16
g	Relay testing at 220KV GIS	-	1.54	1.54
h	EOT crane servicing	-	0.23	0.23
i	Power transformer oil testing	-	0.90	0.90
j	Replacement of EHT bushing	-	8.80	8.80
k	Testing for Tan delta of power transformer	-	0.25	0.25
l	Charges for engaging expert from TELK being OEM	-	0.55	0.55
	One time Expenditure	**5.84**	**13.43**	**19.28**

33. During the year 2023-24, the licensee had claimed a R&M expenses of Rs. 45.28 lakh which included O&M contract cost of Rs.36.32 lakh and one time expenditure of Rs.8.96 lakh as shown below.

Table 17
Phase wise split up of R&M expenses for the 2023-24 (Rs. lakh)

Particulars	Cherthala	Phase-II	Total
O&M contract			
➢ O&M Charges to O&M contractor, M/s Voltas	13.10	23.22	36.32
One Time Expenditure			0
➢ ABT Meter purchase	0.95		0.95
➢ Transformer Oil filtration	0.74		0.74
➢ Purchase of MCCB (LT side) at 110 kV S/s	1.00		1.00
➢ Supply of LA	0.55		0.55
➢ Fire alarm replacement and allied works		1.99	1.99
➢ Cable joint purchase		0.03	0.03
➢ Testing fees paid to KSEB Ltd for 220 kV S/s		0.89	0.89
➢ Testing of cables and circuit breakers for 220 kV GIS S/s		2.79	2.79
Total	**16.35**	**28.92**	**45.28**

34. The Commission while truing up the accounts for the year 2023-24 had approved an amount of Rs.34.62 lakh (including Rs.8.96 lakh – the actual one time expenses) as against Rs.45.28 lakh claimed, considering the actual inflation rate and allowing only the prudent one-time expenses.

35. As per the provision of Tariff Regulations, 2021, any one-time expenditure can be allowed by the Commission in addition to the norms after-prudence check, considering the circumstances, details and justification furnished by the licensee. The relevant provisions are stated below.

> *80. Operation and Maintenance expenses.–*
>
> *(3) Any one time Operation and maintenance expenditure of a special nature not in the form of routine repair and maintenance, if any, if required and is undertaken by the distribution licensee, expenses for such maintenance may be allowed by the Commission after prudence check, considering the circumstances, details and justification furnished by the Distribution business/ licensee for incurring such an expenditure, to the satisfaction of the Commission.*

36. During the hearing with regard to the onetime expenditure incurred for the replacement of EHT bushing (220 KV grade) at Phase II and for LA at Cherthala installations, the Commission was of the opinion that it shall be treated as capital expenditure instead of claiming it under the head Repair and Maintenance expense. The licensee vide clarifications dated 21.01.2026 submitted that, they are acknowledging the opinion of the Commission and is treating it as asset addition and the eligible depreciation for the replacement of the EHT bushing

and LA will be claimed in the ensuing year as prior period depreciation. ***Therefore, after analysing the details the Commission hereby approves Rs.7.69 lakh (Excluding the onetime expense of Rs.8.80 lakh for replacement of EHT bushing and Rs.2.79 lakh for Replacement of LA) as onetime expenditure for the year 2024-25.***

37. ***The Commission after considering the details in the petition and clarifications submitted by the licensee as well as comments of KSEB Ltd, hereby approves Rs.34.13 lakh (Rs.26.44 lakh+ Rs.7.69 lakh) as R&M expenses for the year 2024-25.***

Administration & General Expenses

38. The licensee in the petition has claimed A&G expense of Rs.10.06 lakh as against the approved amount of Rs.5.11 lakh in the Tariff Regulations, 2021. A comparison of the claim with the previous year is tabulated hereunder;

Table 18
Comparison of Administrative & General Expenses (Rs. lakh)

Particulars	2022-23		2023-24		2024-25
	Truing Up Petition	Trued Up	Truing Up Petition	Trued up	Truing up petition
Insurance	1.49	*Approved a total of* ***Rs. 6.04 lakh*** *based on actual inflation rate of 7.06% for the year 2022-23 and also one-time expenses*	1.41	*Approved a total of* ***Rs.7.43 lakh*** *based on actual escalation and energy audit fee*	1.26
License and filing fee	0.51		0.31		1.26
Inspectorate fee -	1.80		4.62		1.81
Telephone and postage	0.22		0.22		0.22
Audit Fees	2.20		2.47		2.24
Vehicle Running Expenses	0.75		0.76		0.99
Printing and Stationery	0.19		0.20		0.14
Training fees at KSEB	0.14		-		0.00
Other professional fees	1.10		0.83		1.73
ABT meter testing fee	0.39		-		0.00
Consultancy charge	-	-	1.48		0.41
Total	**8.79**	**6.04**	**12.29**	**7.43**	**10.06**

39. The claim for the year 2024-25 is Rs.10.06 lakh which is lower than the claim during previous year. The Commission examined the submissions by the licensee as well as the explanations given in the hearing and noted that Energy audit fee can be considered as an additional item which was not reckoned at the time of arriving at the norms. Therefore, the Commission approves Rs.2.24 lakh as Energy Audit fee under A&G Expenses. Considering Para 28 of this Order, the Commission has already approved Rs.5.11 lakh as A&G Expenses based on actual inflation rate for the year 2024-25 which aligns with the approved norms as per Tariff Regulations 2021. ***Therefore, Commission hereby approves an amount of Rs.7.35 lakh (Rs.5.11 lakh+ Rs.2.24 lakh) as the A&G expenses for the year 2024-25.***

O&M Expenses Approved

40. The O&M expense, which is inclusive of Employee costs, R&M expenses, and A&G expenses, approved by the Commission for the year 2024-25, is as shown in Table below:

Table 19
O&M Expenses approved for 2024-25 (Rs. lakh)

Particulars	Approved Norms	Truing up petition	Trued Up
Employee cost	25.04	29.86	25.07
A&G Expense	5.11	10.06	7.35
R&M Expense	26.41	58.30	34.13
Total	**56.56**	**98.22**	**66.55**

41. ***The Commission hereby approves the O&M expenses of Rs.66.55 lakh for the period 2024-25 against Rs.98.22 lakh claimed in the petition***.

Depreciation

42. The licensee in the petition has claimed a depreciation of Rs.47.21 lakh in the straight-line method in line with the Tariff Regulations, 2021 for the assets created using own funds at Infopark Phase I, Cherthala and Infopark Phase II, Kakkanad. The Commission while truing up the accounts for the year 2023-24 had approved a depreciation of Rs.47.21 lakh. Since the capital expenditure of Rs.4311.95 lakh at Kakkanad Phase II was met out of Government grant no depreciation has been claimed. The depreciation claimed for the year 2024-25 is shown below;

Table 20
Depreciation claimed for the year 2024-25

Assets group	Rate of depreciation (%)	GFA beginning of the year (Rs. Lakh)	2024-25 (Rs. Lakh)
Infopark Phase I, Cherthala			
Other Civil works	3.34%	186.94	6.24
HV Distribution System			
Transformers	5.28%	180.30	9.52
Switchgears, Control gear & Protection	5.28%	288.03	15.21
Batteries	5.28%	13.45	0.71
Others	3.34%	52.70	1.76
LT Distribution System			
Distribution lines	5.28%	14.61	0.77
Transformers	5.28%	20.26	1.07
Switchgears, Control gear & Protection	5.28%	110.00	5.81
Batteries	5.28%	1.67	0.09
Tariff Meters	5.28%	3.38	0.18
Others	3.34%	99.97	3.34
Total		**971.31**	**44.70**

Assets group	Rate of depreciation (%)	GFA beginning of the year (Rs. Lakh)	2024-25 (Rs. Lakh)
Infopark Phase I, Cherthala			
Land and land rights	NA	150.00	0.00
Infopark Phase II, Kakkanad			
EHV Substation switchgears etc	5.28%	47.61	2.51
Grand Total		**1168.92**	**47.21**

43. The Commission has examined the details furnished in the petition and noticed that the claim is in line with the provisions of the Tariff Regulations, 2021. The Commission hereby ***approves depreciation of Rs.47.21 lakh for the year 2024-25 as claimed by the licensee.***

Interest and finance charges

44. The licensee in the petition has claimed interest and finance charges of Rs.136.61 lakh which include interest on normative loan, interest on working capital, interest on security deposit, bank charges and Carrying cost for past revenue gap. The comparison of interest and finance charges is tabulated below;

Table 21
Interest and Finance Charges for 2023-24 and 2024-25 (Rs. lakh)

	2023-24		2024-25
Particulars	**For truing up**	**Trued Up**	**For truing up**
Interest on Normative Loan	53.76	62.23	56.33
Interest on working capital	3.76	4.89	8.89
Interest paid to Consumers	6.71	6.71	8.41
Bank charges	0.65	0.65	0.72
Carrying cost for past revenue gaps	58.03	58.03	62.26
Total	**122.91**	**132.51**	**136.61**

A. Interest on Normative Loan

45. The licensee has claimed Rs.56.33 lakh as interest on normative loan for the year 2024-25. The main source of fund for the capital investment at Cherthala was met from the loan availed by Infopark from South Indian Bank Ltd at a rate of 10%. The loan was sanctioned in the year 2010-11 and the entire loan availed by Infopark was repaid by 21st July 2017, using internal funds including lease rentals.

46. As per Regulation 29(4) of Tariff Regulations 2021, the rate of interest shall be the weighted average rate calculated on the basis of the actual loan portfolio at the beginning of each financial year. Further, provided that if the regulated business of the licensee does not have actual loan, but normative loan is outstanding, then interest shall be allowed at the base rate. The interest on Normative Loan claimed by the licensee is tabulated below;

Table 22
Interest on Normative loan for 2024-25

Particulars	Rs. lakh
Net Opening Normativeloan	656.48
(Add) Additional normative loan	0
Opening Normativeloan (A)	656.48
(Less) Allowable depreciation/ Repayment	47.21
Closing Normative Loan (B)	609.27
Average NormativeLoan [(A+B)/2]	632.88
Rate of Interest (%)	8.90%
Interest on Normative loan	**56.33**

47. The Commission had taken a considered decision that the licensee is eligible to claim interest on normative loan for the value of assets created from own funds at Cherthala and Kakkanad. The Commission has examined the licensee's submission with reference to the provisions of the Regulations. As per Regulation 29(2) the normative loan outstanding as on the First day of April 2023 shall be worked out by deducting the amount of cumulative repayment as approved by the Commission up to the Thirty First day of March, 2024, from the normative loan. As per second proviso to Regulation 29 (4) of the Tariff Regulations 2021, if there is no actual loan portfolio, interest charge is to be allowed at the base rate. The base rate is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India as applicable on first day of April of respective financial year.

48. It is noted that, the calculation made by the licensee is as per the provisions of Tariff Regulations 2021. ***Accordingly, the interest on normative loan approved by the Commission for the year 2024-25 is Rs.56.33 lakh.***

B. Interest on security deposits and Bank charges

49. The licensee has claimed Rs.8.41 Lakh as the interest on security deposit payable to consumers and Rs.0.72 Lakh as bank charges for the year 2024-25.

Table 23
Details of Interest on security deposits and Bank charges (Rs. Lakh)

Particulars	2022-23	2023-24	2024-25
	Claimed and Trued Up	Claimed and Trued Up	For Truing Up
Interest paid to Consumers	3.78	6.71	8.41
Bank charges	0.48	0.65	0.72
Total	**4.26**	**7.36**	**9.13**

50. The interest on security deposit and Bank charges are higher than the previous year. The licensee has stated that the increase in interest is due to increase in consumer strength & SD compared the previous year. ***The Commission examined the submission and approves Rs.9.13 lakh as claimed by the***

licensee towards the Interest on security deposits and Bank charges. Further it is directed that the licensee shall review the adequacy of security deposits as per provisions of Supply Code and replenish wherever found necessary.

C. Interest on working Capital

51. The licensee has claimed an amount of Rs.8.89 lakh as interest on working capital for the year 2024-25. The claim made by the licensee is tabulated below;

Table 24
Details of Interest on working capital (Rs. Lakh)

Sl.no	Particulars	Truing up petition
1	O&M expenses (as per norms)- Rs. Lakh	8.19
2	Maintenance Spares (as per norms)	0.00
3	Receivables (2 Months revenue from sale of power) – Rs. Lakh	197.94
	Less:	
4	Security deposits except security deposits held in the form of bank Guarantee from Users – Rs. Lakh	124.59
6	**Total working capital**	**81.53**
7	Interest Rate (as per norms) (MCLR+2%)	10.9
8	**Interest on Working capital- Rs. Lakh**	**8.89**

52. As per the Tariff Regulations 2021, Regulation 32 states that interest on working capital for a distribution licensee is to be computed in the following manner. The relevant portion of Regulation 32 is quoted hereunder;

"32. Interest on working capital. – (1) The generation business/company or transmission business/licensee or distribution business/licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under:-

.....

(v) In the case of distribution business/licensee the working capital shall comprise of:-

I. operation and maintenance expenses for one month; plus

II. cost of maintenance spares equivalent to one-twelfth of the average of the book value of stores, materials and supplies at the beginning and end of the financial year; plus

III. receivables equal to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from users of the distribution system and consumers shall be reduced while computing the working capital requirement;

Provided further that for distribution business/licensees who supply electricity to their consumers on prepaid metering system, no interest on working capital shall be allowed.

……..

(2) Interest on normative level of working capital as per this Regulation shall be allowed at a rate equal to two percentage higher than the base rate as on the first day

of April of the respective financial year, in respect of which the petition for approval of Aggregate Revenue Requirement and determination of tariff is filed"

53. The licensee has worked out the interest on working capital requirement as per the provisions of the Tariff Regulations 2021. As per the provisions of the regulations, interest rate is the External Benchmark-Linked Lending Rate (EBLR) declared by the State Bank of India. Based on the approved O&M expenses and revenue from sale of power and the EBLR rate, ***the Commission approves Rs.8.60 lakh as interest on working capital for the year 2024-25 as worked out below:***

Table 25
Interest on Working capital approved for 2024-25

Particulars	(Rs. lakh)
Approved O & M Expenses for One month (66.55/12)	5.55
Receivables-2 months Revenue from sale of power (1187.62/12 x 2)	197.94
Less: Security Deposit from Consumers	124.59
Net Working Capital Requirement	**78.90**
Interest Rate (%) *	10.90
Interest on Working Capital	**8.60**

**SBI 1-year EBLR – 8.90% on 01-04-2024 plus 2% thereof total 10.90%*

D. Carrying cost for past revenue gaps

54. The Commission had in the Truing up Order 2023-24 approved Rs.915.59 lakh as the cumulative revenue gap till 2023-24. The Carrying cost of cumulative revenue gap is to be allowed considering the cost of funds actually incurred by the entity for funding the revenue gap.

55. The rate of interest to be considered for computing the carrying cost is at a rate of 6.80% per annum (the retail term deposit rate of SBI for a tenure of one year as on 01-04-2024). ***Accordingly, the carrying cost for past revenue gaps to be considered for an amount of Rs.915.59 lakh works out to Rs.62.26 lakh (Rs. 915.59 lakh * 6.80%).***

56. ***Accordingly, the total interest and finance charges approved for the year 2024-25 is Rs.136.32 lakh*** as shown below;

Table 26
Approved Interest and Finance Charges for 2024-25 (Rs. lakh)

	2024-25	
Particulars	**For truing up**	**Trued Up**
Interest on Normative Loan	56.33	56.33
Interest on working capital	8.89	8.60
Interest paid to Consumers	8.41	8.41
Bank charges	0.72	0.72
Carrying cost for past revenue gaps	62.26	62.26
Total	**136.61**	**136.32**

Return on Net Fixed Assets

57. In the current petition the licensee has claimed Rs.36.11 lakh as Return on NFA for the year 2024-25. The licensee in the petition for Truing up of accounts for the year 2023-24 has claimed an amount of Rs.38.70 lakh as Return on Net Fixed Assets. The licensee in the current petition has reckoned 5.50% of the value of net fixed assets at the beginning of the year (Rs.656.48 lakh x 5.50%). The Commission while approving the truing up of accounts in 2023-24 had allowed RoNFA of Rs.38.70 lakh in accordance with the provisions of the Regulations.

58. As per Regulation 28 of Tariff Regulations, 2021, if the equity capital of the licensee is not clearly identifiable, the return shall be allowed at 5.50 per cent on the net fixed assets at the beginning of the financial year for such regulated business. The claim made by the licensee for Return on Net Fixed Assets for the year 2024-25 is in line with the Tariff Regulations. ***Accordingly, the Commission hereby approves Return on Net Fixed Assets of Rs.36.11 lakh as claimed by the licensee for the year 2024-25.***

Revenue from Sale of Power

59. The licensee in the petition has claimed an amount of Rs.1187.62 lakh as revenue for the sale of 137.61 lakh units. As per the petition, major share of revenue from sale of power is from HT I B and Industrial category. Category wise comparison of the revenue from sale of power for the years 2023-24 and 2024-25 are as shown below.

Table 27
Comparison of Revenue from Sale of Power for 2023-24 and 2024-25

Category	2023-24				2024-25			
	Consumers	Sales Lakh units	Revenue (Rs Lakh)	Avg. realisation	Consumers	Sales Lakh units	Revenue (Rs Lakh)	Avg. realisation
Industrial	185	40.03	346.73	8.66	194	46.66	403.94	8.66
Commercial	19	6.55	69.88	10.67	3	0.79	8.37	10.54
LT VI F	-	-	-	-	9	2.18	24.04	11.02
Street lights	2	1.18	5.62	4.76	2	1.29	6.26	4.85
LT VI C	-	-	-	-	2	0.17	1.81	10.72
LT VI B	-	-	-	-	1	0.17	1.41	8.29
HT- I B & II B	5	72.24	633.45	8.77	6	86.34	741.79	8.59
Total	**211**	**120.00**	**1055.68**	**8.80**	**217**	**137.60**	**1187.62**	**8.63**

60. The Commission while truing up the accounts for the year 2023-24 had approved a sale of 120.00 lakh units and revenue of Rs.1055.68 lakh. Compared to the previous year, there is increase in both sales and revenue. It is seen that there is a reduction in the average realisation compared to the previous year. The licensee vide letter dated 21.01.2026 submitted that, the reason for downward variation in average realisation is that, there is a slight impact in the demand

charge side of major consumers (HT-consumers) who consumes 62.51 % of total energy sales. As per the calculation provided by the licensee there is a decrease of 23 paise per unit in the demand charge in HT category, which caused overall decrease in average realisation.

61. ***Considering the increase in total sales units and sales revenue***, ***the Commission hereby approves the revenue from sale of power at Rs.1187.62 lakh as claimed by the licensee for the purpose of Truing Up of Accounts for the year 2024-25.***

Wheeling Charges

62. The licensee has accounted Rs.64.46 lakh as wheeling charges from M/s Smart City. The total energy wheeled to Smart City is 102.75 lakh units during the year 2024-25. During the year 2023-24, the income from wheeling charges was Rs.45.98 lakh for wheeling 74.84 lakh units. ***The Commission hereby approves the actual amount of Rs.64.46 lakh as the wheeling charge for the year 2024-25.***

Non-Tariff Income

63. The Non-tariff income of Rs.10.24 lakh claimed by the licensee includes interest on deposits, interest on delayed payments and meter rent. It is seen that the non-tariff income has increased compared the previous year. The split-up details of non-Tariff income are shown below.

Table 28
Comparison of Non-Tariff Income (Rs. lakh)

Particulars	2022-23	2023-24	2024-25
	Trued Up (Rs. lakh)	Trued Up (Rs. lakh)	For truing up (Rs. lakh)
Interest on investments, fixed and call deposits and bank balances	1.38	1.74	2.69
Interest Received from others (KSEB Ltd)	1.27	3.91	3.94
Interest on delayed or deferred payment of bills	0.53	1.04	1.58
Meter Cost	0.48	0.49	1.00
Meter Installation Charge	1.00	1.51	0.37
Ele Duty Collection Charge	0.29	0.55	0.66
Total	**4.95**	**9.24**	**10.24**

64. ***The Commission considers the claims and approves Rs.10.24 lakh as actual non-tariff income for the year 2024-25.***

65. Based on the above, the approved expenditure and revenue for the year 2024-25 after Truing Up is as shown below:

Table 29
Income and Expenditure Statement after Truing Up for 2024-25 (Rs. lakh)

Particulars	ARR Approved	For Truing Up	Trued Up
Cost of Power Purchase	537.73	1023.94	1040.85
Employee cost	25.04	29.86	25.07
A&G Expense	5.11	10.06	7.35
R&M Expense	26.41	58.30	34.13
Depreciation	47.21	47.21	47.21
Interest on Normative Long-Term Loan	42.09	56.33	56.33
Interest on Consumer Deposits & Bank charges	5.11	9.13	9.13
Interest on Working Capital	0.41	8.89	8.60
Carrying cost for past revenue gaps	53.93	62.26	62.26
Return on Equity	36.11	36.11	36.11
Aggregate Revenue Requirement	**779.15**	**1342.08**	**1327.04**
Revenue from Sale of power	749.66	1187.62	1187.62
Wheeling Charges	39.47	64.46	64.46
Non-Tariff Income	3.17	10.24	10.24
Total Revenue/ERC	**792.30**	**1262.32**	**1262.32**
Revenue Surplus / (Deficit)	**13.15**	**-79.76**	**-64.72**

Revenue Surplus/Gap for 2024-25

66. As against the ARR&ERC approved Revenue surplus of Rs.13.15 lakh for the year 2024-25, the licensee for Truing Up of Accounts has claimed a Revenue gap of Rs.79.76 lakh. After examining the petition, details briefed during the hearing, the clarifications submitted, the approved Revenue (Gap)/ Surplus for the year 2024-25 after Truing Up the accounts is as shown below.

Table 30
Revenue (Gap)/ Surplus Approved for the year 2024-25 (Rs. lakh)

Particulars	2024-25		
	ARR & ERC	For Truing Up	Trued Up
Total Expenditure	779.15	1342.08	**1327.04**
Total Income	792.30	1262.32	**1262.32**
Net Surplus/(Deficit)	**13.15**	**-79.76**	**-64.72**

Orders of the Commission

67. The Commission after considering the petition filed by M/s. Infopark for Truing Up of Accounts for the year 2024-25, views presented by the licensee during the hearing and the clarifications and details provided by the licensee approves the following:

a) Total income is Rs.1262.32 lakh

b) Total expenditure is Rs.1327.04 lakh

c) The revenue gap for the year 2024-25 is Rs.64.72 lakh

d) Total cumulative revenue gap till 2024-25 will be Rs. 980.31 lakh (Rs.915.59 lakh as opening cumulative revenue gap + current year revenue gap of Rs.64.72 lakh)

68. The petition is disposed of. Ordered accordingly.

Sd/-
Sri. T.K Jose
Chairman

Sd/-
Sri. B. Pradeep
Member

Approved for issue
Sd/-
Rajendran K.V
Secretary